

it seemed was to break down the financials. Being in the median, it turned out, the odds were better stacked in a corporate role.

Much to my fascination, the numbers told me something to the contrary of what I believed. I've always thought the windfall would be so much better if I joined a startup. Under ideal circumstances, the startup employee was on a different class of life, post-acquisition. But such idealism is quite rare in the startup ecosystem and companies fail at a greater clip than you could say 'tomatoes'. To bring you up to speed, consider the narrative assumption

Newer employee (within first 50)

- Your compensation will be lower (20,000 at best) but you'll have equity 5-15%.
- Your period of toil begins for 4 years.
- A bigwig decides to buy out your company or your company goes public in 4+3 years.
- To compensate for the years of toil and lower salary, the equity will pave way for more equity in the new company or an immediate windfall at an IPO.
- Market averages denote that if your company gets acquired you'd be getting 50-60L and if you go public, your options will give you 2C after the vesting schedule. Now, you have that dream home to sit in, a swanky car parked outside and funding to start your next venture.

Later stage joinee (typically after Series A funding)

- You join a company with 150 or more employees; a salary in line with the market but infinitesimal equity (usually <1%).
- You have a middle manager and politics are at play just like a big company.
- You joined the company for different reasons but any acquisition talk does sound sweet.
- If acquired or gone public, the options rarely give more than 20L, a down payment for a nice home.

If you'd like to know how often the above narration happens, consider the numbers. 90% of nascent startups fail before funding and 80% of them fail after funding because they hit a plateau of users and stagnant revenue^[3]. Not knowing how to scale-up despite having a brilliant product has slayed many imperial ambitions. But playing devil's advocate a little further, let's consider it takes 7 years, for your startup to be acquired. In the same timeframe, you could become a middle manager at a big corporate. Middle managers nominally make 10-12L yearly. If you consider an average of 6L per year for the first 7 years, at a corporate set-up, the numbers round up to:

Newer start-up employee ^[4]	Corporate joinee
7 years' time: $20,000 \times 12 \times 7 + 60L(\text{equity}) = 76.8L$	7 years' time: $6L(\text{averaged}) \times 7 \text{ years} = 42L$